

ESTATE PLANNING

MAKE SURE YOUR ESTATE PASSES SMOOTHLY

Don't delay the drawing up of a will and make it difficult for your family by not leaving clear instructions about your financial assets

Illustration by SIDDHANT JUMDE

Neha Bhasin is worried about sorting the numerous files with documents that detail her parents' bank account statements, phone bill records, maintenance charges towards gadgets and apartment, pension existence certificate, medical records and more. Her parents, like many others, unfortunately died in 2021 due to Covid complications. The 49-year-old Mumbaikar has been shuttling between Delhi and Mumbai to get a grip on the assets left by her parents.

"I have been married for 25 years and in all these years, I would meet my parents during vacations and family events. We rarely discussed their finances," she says. Her brother has been settled in Singapore for two decades now. "Our parents were very independent and we were fine till the Covid complications set in and they needed assistance," she says. The emotional trauma aside, she is facing several challenges to pick up the pieces from the documents left by her parents.

In the past two years, many families have faced new challenges of losing their near and dear ones who haven't left any clear instructions about their financial lives. Making a will is something that is never a priority, despite knowing for certain that one day one will die. Many people think that they hardly have any financial possessions that require a will, or assume that there is plenty of time before they can draw up one.

Even shrewd businessmen have gambled their way by not having a clear succession plan. Take the oft-cited case of the late Dhirubhai Ambani who, despite his business acumen, didn't leave a succession plan, which left his sons fighting for his empire. There have been several other business families that have witnessed legal battles and bitterness causing family disputes, which have disrupted business and eroded wealth.

MISCONCEPTIONS GALORE

Most Indians who own a house or have some investments need to realise that these are assets with significant value. They need to prepare clear instructions on how these assets will be handled after them and who will receive what from it. Many asset owners assume that things would smoothly transition to their dependants, and they don't need to write a will. However, when one dies without leaving a will, there is room for family members to seek the intervention of the court to settle the assets. Given the time-consuming and expensive legal process, it makes sense to have a clearly written will or make sure your beneficiaries know what you are planning.

In case of financial assets, say a bank account or life insurance, there is scope to define a beneficiary by way of nomination. However, this is not as simple as it may appear, especially